

EDUCATION FINANCING & TUITION RECORDS

Household File — Tax Year 2025 — Vega-Holloway

Taxpayer/parent: Marisol Vega-Holloway (SSN XXX-XX-7732)

Student: Camila Vega-Holloway (dependent), University of New Mexico, UNM ID 101-44-9920

Records assembled: February 2026

This folder assembles the household's education records for 2025: the University of New Mexico tuition statement (Form 1098-T) and bursar account, the cost-of-attendance and financial-aid summaries, and the Parent PLUS loan statement (Form 1098-E) used to finance the student's education. It is retained for the preparation of the income-tax return. No education credit or deduction is computed in this folder.

Part	Contents	Key amount
A	Form 1098-T (UNM) and bursar account	Box 1 payments \$9,400.00
A	Cost of attendance & financial aid	Scholarships/grants \$2,900.00
B	Form 1098-E (Parent PLUS) and servicer statement	Box 1 interest \$1,499.72
B	Repayment history, projection, and federal disclosures	Balance \$17,962.56

Amounts are source figures only and are reported as received or paid during 2025.

PART A — UNIVERSITY OF NEW MEXICO — Tuition Statement & Bursar Account

Form 1098-T (2025) — Tuition Statement

OMB No. 1545-1574 • Copy B — For Student • Department of the Treasury - IRS

FILER'S name and address University of New Mexico Bursar's Office, MSC11 6045, Albuquerque, NM 87131		FILER'S TIN 85-6000642
STUDENT'S name and address Camila Vega-Holloway 8204 Cherry Hills Rd NE, Albuquerque, NM 87111		STUDENT'S TIN XXX-XX-5587
Box 1 Payments received for qualified tuition and related expenses 9,400.00		Box 2 Reserved
Box 4 Adjustments for a prior year 0.00	Box 5 Scholarships or grants 2,900.00	Box 6 Adjustments to scholarships (prior year) 0.00
Box 7 Box 1 includes amounts for an academic period beginning Jan–Mar 2026 []	Box 8 At least half-time student [X]	Box 9 Graduate student []

Box 1 reports \$9,400.00 of payments received for qualified tuition and related expenses during 2025; Box 5 reports \$2,900.00 of scholarships and grants. Instructions for Student (excerpt): You, or the person who can claim you as a dependent, may be able to claim an education credit (American Opportunity Credit or Lifetime Learning Credit) on Form 8863 for the qualified expenses paid. Tax-free scholarships and grants reduce the expenses eligible for a credit. The amount you may use for a credit may differ from Box 1; see Pub. 970 and the Instructions for Form 8863 to figure your qualified expenses.

UNM Bursar Account — Itemized Activity (2025)

Charges and payments posted to the student's bursar account during 2025, by term. Payments applied to qualified tuition and fees are summarized in Box 1 of Form 1098-T.

Date	Description	Type	Amount
Spring 2025 Term			

Date	Description	Type	Amount
2025-01-08	Resident tuition — Spring 2025 (12 cr)	Charge	\$3,820.00
2025-01-08	Course & lab fees	Charge	\$360.00
2025-01-08	Student activity fee	Charge	\$96.00
2025-01-08	Technology fee	Charge	\$120.00
2025-01-08	Student health fee	Charge	\$130.00
2025-01-08	Athletic/facility fee	Charge	\$174.00
2025-01-10	NM Lottery Success Scholarship	Payment	(\$1,450.00)
2025-01-18	Online payment — bank ****3318	Payment	(\$3,250.00)
	Spring 2025 Term ending balance		\$0.00
Fall 2025 Term			
2025-08-18	Resident tuition — Fall 2025 (12 cr)	Charge	\$3,820.00
2025-08-18	Course & lab fees	Charge	\$360.00
2025-08-18	Student activity fee	Charge	\$96.00
2025-08-18	Technology fee	Charge	\$120.00
2025-08-18	Student health fee	Charge	\$130.00
2025-08-18	Athletic/facility fee	Charge	\$174.00
2025-08-20	NM Lottery Success Scholarship	Payment	(\$1,450.00)

Date	Description	Type	Amount
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2025-08-28	Online payment — bank ****3318	Payment	(\$3,250.00)
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Fall 2025 Term ending balance			\$0.00
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Qualified tuition and related expenses billed in 2025 totaled \$9,400.00, all of which was paid during the year; payments received and applied to qualified tuition and related expenses totaled \$9,400.00 (Box 1). Scholarships of \$2,900.00 were applied and are reported in Box 5; the remaining \$6,500.00 was paid out of pocket.

Bursar account — term summary

Term	Qualified charges	Scholarship applied	Out-of-pocket	Ending balance
Spring 2025	\$4,700.00	\$1,450.00	\$3,250.00	\$0.00
Fall 2025	\$4,700.00	\$1,450.00	\$3,250.00	\$0.00
Year	\$9,400.00	\$2,900.00	\$6,500.00	\$0.00

Cost of Attendance & Financial Aid Summary (2025)

Estimated cost of attendance (academic year 2025) — resident, living off campus

Component	Amount
Tuition (resident, two terms)	\$7,640.00
Mandatory fees (two terms)	\$1,760.00
Books & course materials	\$960.00
Room & board (off-campus allowance)	\$11,200.00
Transportation	\$1,450.00
Personal expenses	\$2,100.00
Estimated total cost of attendance	\$25,110.00

Aid and payments applied to qualified tuition & fees (2025)

Source	Type	Amount
NM Lottery Success Scholarship	Scholarship — Box 5 (tax-free if used for tuition/fees)	\$2,900.00
Family out-of-pocket payments	Family payment	\$6,500.00
Total applied to qualified tuition & fees		\$9,400.00

The Parent PLUS loan in Part B was disbursed in prior academic years and is now in repayment; it did not fund the 2025 charges, which were paid by scholarship and family payments as shown above. Room and board are part of the cost of attendance but are not qualified expenses for an education credit. Enrollment: the student was at least half-time in both the Spring 2025 and Fall 2025 terms (Box 8 checked). See Pub. 970.

Qualified Education Expenses — Reference (Pub. 970)

What counts as a qualified expense for an education credit

For the American Opportunity Credit and the Lifetime Learning Credit, qualified expenses are tuition and certain related expenses required for enrollment or attendance. For the American Opportunity Credit, required course materials (books, supplies, and equipment) also count, even if not paid to the school. Room and board, insurance, transportation, and personal expenses do not

count.

Effect of tax-free scholarships and grants

Tax-free scholarships and grants reduce the amount of qualified expenses that can be used to figure a credit. The amount in Box 1 of Form 1098-T is the payments the school received for qualified tuition and related expenses; the amount you can use for a credit may be more or less than Box 1 and must be figured using your own records and Pub. 970.

Coordination rules

You cannot use the same expenses to claim more than one education benefit, and you cannot use expenses paid with tax-free educational assistance. The American Opportunity Credit is available for the first four years of postsecondary education; the Lifetime Learning Credit has no year limit. See Form 8863 and Pub. 970 to determine which benefit applies and how to figure qualified expenses.

UNM payment plan, refund policy & notices

Payment plan

The University offers an optional installment payment plan each term for a nonrefundable enrollment fee. Balances not paid by the term due date may be assessed a late-payment fee and a hold may be placed on registration and transcripts.

Refund policy

Students who drop courses or withdraw within the published add/drop period may receive a refund of tuition and certain fees on a pro-rata basis. After the refund period, charges are generally nonrefundable. Refunds of credit balances are issued to the student by direct deposit or check.

1098-T delivery

The 1098-T is made available electronically through the student portal by January 31; a paper copy is mailed unless the student consents to electronic delivery. The form reports payments received for qualified tuition and related expenses and the scholarships and grants posted during the calendar year.

FERPA

Under the Family Educational Rights and Privacy Act, the student's education records are protected. The student may authorize the release of records, including the bursar account, to a parent or other party. The University releases directory information unless the student requests otherwise.

PART B — PARENT PLUS LOAN — Form 1098-E & Servicer Statement

Form 1098-E (2025) — Student Loan Interest Statement

OMB No. 1545-1576 • Copy B — For Borrower • Department of the Treasury - IRS

RECIPIENT'S/LENDER'S name and address Cordillera Federal Loan Servicing P.O. Box 9100, Albuquerque, NM 87199		RECIPIENT'S TIN 85-0299114
BORROWER'S name and address Marisol Vega-Holloway 8204 Cherry Hills Rd NE, Albuquerque, NM 87111		BORROWER'S TIN XXX-XX-7732
Box 1 Student loan interest received by lender 1,499.72	Box 2 Check if box 1 excludes loan origination fees/capitalized interest []	
Account number E-2025-883106	Loan program Federal Direct PLUS Loan (Parent)	

Box 1 reports \$1,499.72 of interest paid on the qualified student loan during 2025. A parent PLUS loan taken solely to pay a dependent's qualified higher-education expenses can be a qualified student loan; up to \$2,500 of interest may be deductible as an adjustment to income, subject to a modified-AGI limitation. You do not have to itemize. See Pub. 970 and the Form 1040 instructions.

Loan summary	Detail
Original disbursed amount	\$24,000.00
Interest rate (fixed)	8.050%

Loan summary	Detail
Monthly payment	\$226.43
Repayment plan	Standard repayment
Balance January 1, 2025	\$19,180.00
Balance December 31, 2025	\$17,962.56
Interest paid 2025 (Box 1)	\$1,499.72
Status	Current — in repayment

PLUS Loan — 2025 Payment History

Month	Payment	Interest	Principal	Ending balance
Jan	\$226.43	\$128.67	\$97.76	\$19,082.24
Feb	\$226.43	\$128.01	\$98.42	\$18,983.82
Mar	\$226.43	\$127.35	\$99.08	\$18,884.74
Apr	\$226.43	\$126.69	\$99.74	\$18,785.00
May	\$226.43	\$126.02	\$100.41	\$18,684.59
Jun	\$226.43	\$125.34	\$101.09	\$18,583.50
Jul	\$226.43	\$124.66	\$101.77	\$18,481.73
Aug	\$226.43	\$123.98	\$102.45	\$18,379.28
Sep	\$226.43	\$123.29	\$103.14	\$18,276.14
Oct	\$226.43	\$122.60	\$103.83	\$18,172.31
Nov	\$226.43	\$121.91	\$104.52	\$18,067.79
Dec	\$226.43	\$121.20	\$105.23	\$17,962.56
Total 2025	\$2,717.16	\$1,499.72	\$1,217.44	\$17,962.56

Total interest paid in 2025 was \$1,499.72, equal to Box 1 of Form 1098-E.

Repayment Plan Comparison

Comparison of the current (Standard) repayment schedule with an Extended alternative, computed at the current fixed rate from the principal at the start of repayment. A Graduated plan would begin with lower payments that rise over time; contact the servicer for an official Graduated quote.

Repayment plan	Monthly payment	Number of payments	Total interest	Total paid
Standard (current schedule)	\$226.43	131	\$9,917.01	\$29,576.14
Extended fixed (25-year)	\$152.38	300	\$26,054.87	\$45,714.00

The current Standard schedule repays the loan fastest and with the least total interest. The Extended plan lowers the monthly payment but materially increases the total interest paid.

Complete Loan Amortization Schedule (repayment start to payoff)

Full schedule of payments from the start of repayment (August 2024) at the current fixed rate and monthly payment. Payments through December 2025 are actual; later payments are projected.

Pmt #	Month	Payment	Interest	Principal	Balance	Status
1	2024-08	\$226.43	\$131.88	\$94.55	\$19,564.58	actual
2	2024-09	\$226.43	\$131.25	\$95.18	\$19,469.40	actual
3	2024-10	\$226.43	\$130.61	\$95.82	\$19,373.58	actual
4	2024-11	\$226.43	\$129.96	\$96.47	\$19,277.11	actual
5	2024-12	\$226.43	\$129.32	\$97.11	\$19,180.00	actual
6	2025-01	\$226.43	\$128.67	\$97.76	\$19,082.24	actual
7	2025-02	\$226.43	\$128.01	\$98.42	\$18,983.82	actual
8	2025-03	\$226.43	\$127.35	\$99.08	\$18,884.74	actual
9	2025-04	\$226.43	\$126.69	\$99.74	\$18,785.00	actual
10	2025-05	\$226.43	\$126.02	\$100.41	\$18,684.59	actual
11	2025-06	\$226.43	\$125.34	\$101.09	\$18,583.50	actual
12	2025-07	\$226.43	\$124.66	\$101.77	\$18,481.73	actual

Pmt #	Month	Payment	Interest	Principal	Balance	Status
13	2025-08	\$226.43	\$123.98	\$102.45	\$18,379.28	actual
14	2025-09	\$226.43	\$123.29	\$103.14	\$18,276.14	actual
15	2025-10	\$226.43	\$122.60	\$103.83	\$18,172.31	actual
16	2025-11	\$226.43	\$121.91	\$104.52	\$18,067.79	actual
17	2025-12	\$226.43	\$121.20	\$105.23	\$17,962.56	actual
18	2026-01	\$226.43	\$120.50	\$105.93	\$17,856.63	projected
19	2026-02	\$226.43	\$119.79	\$106.64	\$17,749.99	projected
20	2026-03	\$226.43	\$119.07	\$107.36	\$17,642.63	projected
21	2026-04	\$226.43	\$118.35	\$108.08	\$17,534.55	projected
22	2026-05	\$226.43	\$117.63	\$108.80	\$17,425.75	projected
23	2026-06	\$226.43	\$116.90	\$109.53	\$17,316.22	projected
24	2026-07	\$226.43	\$116.16	\$110.27	\$17,205.95	projected
25	2026-08	\$226.43	\$115.42	\$111.01	\$17,094.94	projected
26	2026-09	\$226.43	\$114.68	\$111.75	\$16,983.19	projected

Pmt #	Month	Payment	Interest	Principal	Balance	Status
27	2026-10	\$226.43	\$113.93	\$112.50	\$16,870.69	projected
28	2026-11	\$226.43	\$113.17	\$113.26	\$16,757.43	projected
29	2026-12	\$226.43	\$112.41	\$114.02	\$16,643.41	projected
30	2027-01	\$226.43	\$111.65	\$114.78	\$16,528.63	projected
31	2027-02	\$226.43	\$110.88	\$115.55	\$16,413.08	projected
32	2027-03	\$226.43	\$110.10	\$116.33	\$16,296.75	projected
33	2027-04	\$226.43	\$109.32	\$117.11	\$16,179.64	projected
34	2027-05	\$226.43	\$108.54	\$117.89	\$16,061.75	projected
35	2027-06	\$226.43	\$107.75	\$118.68	\$15,943.07	projected
36	2027-07	\$226.43	\$106.95	\$119.48	\$15,823.59	projected
37	2027-08	\$226.43	\$106.15	\$120.28	\$15,703.31	projected
38	2027-09	\$226.43	\$105.34	\$121.09	\$15,582.22	projected
39	2027-10	\$226.43	\$104.53	\$121.90	\$15,460.32	projected
40	2027-11	\$226.43	\$103.71	\$122.72	\$15,337.60	projected

Pmt #	Month	Payment	Interest	Principal	Balance	Status
41	2027-12	\$226.43	\$102.89	\$123.54	\$15,214.06	projected
42	2028-01	\$226.43	\$102.06	\$124.37	\$15,089.69	projected
43	2028-02	\$226.43	\$101.23	\$125.20	\$14,964.49	projected
44	2028-03	\$226.43	\$100.39	\$126.04	\$14,838.45	projected
45	2028-04	\$226.43	\$99.54	\$126.89	\$14,711.56	projected
46	2028-05	\$226.43	\$98.69	\$127.74	\$14,583.82	projected
47	2028-06	\$226.43	\$97.83	\$128.60	\$14,455.22	projected
48	2028-07	\$226.43	\$96.97	\$129.46	\$14,325.76	projected
49	2028-08	\$226.43	\$96.10	\$130.33	\$14,195.43	projected
50	2028-09	\$226.43	\$95.23	\$131.20	\$14,064.23	projected
51	2028-10	\$226.43	\$94.35	\$132.08	\$13,932.15	projected
52	2028-11	\$226.43	\$93.46	\$132.97	\$13,799.18	projected
53	2028-12	\$226.43	\$92.57	\$133.86	\$13,665.32	projected
54	2029-01	\$226.43	\$91.67	\$134.76	\$13,530.56	projected

Pmt #	Month	Payment	Interest	Principal	Balance	Status
55	2029-02	\$226.43	\$90.77	\$135.66	\$13,394.90	projected
56	2029-03	\$226.43	\$89.86	\$136.57	\$13,258.33	projected
57	2029-04	\$226.43	\$88.94	\$137.49	\$13,120.84	projected
58	2029-05	\$226.43	\$88.02	\$138.41	\$12,982.43	projected
59	2029-06	\$226.43	\$87.09	\$139.34	\$12,843.09	projected
60	2029-07	\$226.43	\$86.16	\$140.27	\$12,702.82	projected
61	2029-08	\$226.43	\$85.21	\$141.22	\$12,561.60	projected
62	2029-09	\$226.43	\$84.27	\$142.16	\$12,419.44	projected
63	2029-10	\$226.43	\$83.31	\$143.12	\$12,276.32	projected
64	2029-11	\$226.43	\$82.35	\$144.08	\$12,132.24	projected
65	2029-12	\$226.43	\$81.39	\$145.04	\$11,987.20	projected
66	2030-01	\$226.43	\$80.41	\$146.02	\$11,841.18	projected
67	2030-02	\$226.43	\$79.43	\$147.00	\$11,694.18	projected
68	2030-03	\$226.43	\$78.45	\$147.98	\$11,546.20	projected

Pmt #	Month	Payment	Interest	Principal	Balance	Status
69	2030-04	\$226.43	\$77.46	\$148.97	\$11,397.23	projected
70	2030-05	\$226.43	\$76.46	\$149.97	\$11,247.26	projected
71	2030-06	\$226.43	\$75.45	\$150.98	\$11,096.28	projected
72	2030-07	\$226.43	\$74.44	\$151.99	\$10,944.29	projected
73	2030-08	\$226.43	\$73.42	\$153.01	\$10,791.28	projected
74	2030-09	\$226.43	\$72.39	\$154.04	\$10,637.24	projected
75	2030-10	\$226.43	\$71.36	\$155.07	\$10,482.17	projected
76	2030-11	\$226.43	\$70.32	\$156.11	\$10,326.06	projected
77	2030-12	\$226.43	\$69.27	\$157.16	\$10,168.90	projected
78	2031-01	\$226.43	\$68.22	\$158.21	\$10,010.69	projected
79	2031-02	\$226.43	\$67.16	\$159.27	\$9,851.42	projected
80	2031-03	\$226.43	\$66.09	\$160.34	\$9,691.08	projected
81	2031-04	\$226.43	\$65.01	\$161.42	\$9,529.66	projected
82	2031-05	\$226.43	\$63.93	\$162.50	\$9,367.16	projected

Pmt #	Month	Payment	Interest	Principal	Balance	Status
83	2031-06	\$226.43	\$62.84	\$163.59	\$9,203.57	projected
84	2031-07	\$226.43	\$61.74	\$164.69	\$9,038.88	projected
85	2031-08	\$226.43	\$60.64	\$165.79	\$8,873.09	projected
86	2031-09	\$226.43	\$59.52	\$166.91	\$8,706.18	projected
87	2031-10	\$226.43	\$58.40	\$168.03	\$8,538.15	projected
88	2031-11	\$226.43	\$57.28	\$169.15	\$8,369.00	projected
89	2031-12	\$226.43	\$56.14	\$170.29	\$8,198.71	projected
90	2032-01	\$226.43	\$55.00	\$171.43	\$8,027.28	projected
91	2032-02	\$226.43	\$53.85	\$172.58	\$7,854.70	projected
92	2032-03	\$226.43	\$52.69	\$173.74	\$7,680.96	projected
93	2032-04	\$226.43	\$51.53	\$174.90	\$7,506.06	projected
94	2032-05	\$226.43	\$50.35	\$176.08	\$7,329.98	projected
95	2032-06	\$226.43	\$49.17	\$177.26	\$7,152.72	projected
96	2032-07	\$226.43	\$47.98	\$178.45	\$6,974.27	projected

Pmt #	Month	Payment	Interest	Principal	Balance	Status
97	2032-08	\$226.43	\$46.79	\$179.64	\$6,794.63	projected
98	2032-09	\$226.43	\$45.58	\$180.85	\$6,613.78	projected
99	2032-10	\$226.43	\$44.37	\$182.06	\$6,431.72	projected
100	2032-11	\$226.43	\$43.15	\$183.28	\$6,248.44	projected
101	2032-12	\$226.43	\$41.92	\$184.51	\$6,063.93	projected
102	2033-01	\$226.43	\$40.68	\$185.75	\$5,878.18	projected
103	2033-02	\$226.43	\$39.43	\$187.00	\$5,691.18	projected
104	2033-03	\$226.43	\$38.18	\$188.25	\$5,502.93	projected
105	2033-04	\$226.43	\$36.92	\$189.51	\$5,313.42	projected
106	2033-05	\$226.43	\$35.64	\$190.79	\$5,122.63	projected
107	2033-06	\$226.43	\$34.36	\$192.07	\$4,930.56	projected
108	2033-07	\$226.43	\$33.08	\$193.35	\$4,737.21	projected
109	2033-08	\$226.43	\$31.78	\$194.65	\$4,542.56	projected
110	2033-09	\$226.43	\$30.47	\$195.96	\$4,346.60	projected

Pmt #	Month	Payment	Interest	Principal	Balance	Status
111	2033-10	\$226.43	\$29.16	\$197.27	\$4,149.33	projected
112	2033-11	\$226.43	\$27.84	\$198.59	\$3,950.74	projected
113	2033-12	\$226.43	\$26.50	\$199.93	\$3,750.81	projected
114	2034-01	\$226.43	\$25.16	\$201.27	\$3,549.54	projected
115	2034-02	\$226.43	\$23.81	\$202.62	\$3,346.92	projected
116	2034-03	\$226.43	\$22.45	\$203.98	\$3,142.94	projected
117	2034-04	\$226.43	\$21.08	\$205.35	\$2,937.59	projected
118	2034-05	\$226.43	\$19.71	\$206.72	\$2,730.87	projected
119	2034-06	\$226.43	\$18.32	\$208.11	\$2,522.76	projected
120	2034-07	\$226.43	\$16.92	\$209.51	\$2,313.25	projected
121	2034-08	\$226.43	\$15.52	\$210.91	\$2,102.34	projected
122	2034-09	\$226.43	\$14.10	\$212.33	\$1,890.01	projected
123	2034-10	\$226.43	\$12.68	\$213.75	\$1,676.26	projected
124	2034-11	\$226.43	\$11.24	\$215.19	\$1,461.07	projected

Pmt #	Month	Payment	Interest	Principal	Balance	Status
125	2034-12	\$226.43	\$9.80	\$216.63	\$1,244.44	projected
126	2035-01	\$226.43	\$8.35	\$218.08	\$1,026.36	projected
127	2035-02	\$226.43	\$6.89	\$219.54	\$806.82	projected
128	2035-03	\$226.43	\$5.41	\$221.02	\$585.80	projected
129	2035-04	\$226.43	\$3.93	\$222.50	\$363.30	projected
130	2035-05	\$226.43	\$2.44	\$223.99	\$139.31	projected
131	2035-06	\$140.24	\$0.93	\$139.31	\$0.00	projected

The loan began repayment in August 2024 and, at the monthly payment of \$226.43, is projected to be fully repaid after 131 payments (about 10 years 11 months). Total interest over the life of the loan is \$9,917.01 and the total of payments is \$29,576.14 (= principal at repayment \$19,659.13 plus interest). Interest paid in 2025 (\$1,499.72) equals Box 1 of Form 1098-E.

Direct PLUS Loan — Disclosure Statement (at repayment)

The following disclosure summarizes the cost of your loan based on the current repayment schedule at the fixed note rate.

Disclosure item	Amount / value
Annual percentage rate (note rate)	8.050%
Interest rate (fixed)	8.050%
Amount financed (principal at start of repayment)	\$19,659.13
Origination fee (4.228%, deducted at original disbursement)	\$1,014.72
Finance charge (total interest over the loan)	\$9,917.01
Total of payments (principal + interest)	\$29,576.14
Number of payments	131 monthly payments
Monthly payment	\$226.43
Prepayment	No penalty for prepayment
Late charge	Up to 6% of the overdue payment amount

Master Promissory Note (summary): the borrower signed a Direct PLUS Loan Master Promissory Note authorizing one or more loans for the named student over up to ten years. The borrower is personally liable for repayment. The MPN, this disclosure, and the Borrower's Rights and Responsibilities statement are retained with the borrower's records.

Federal Direct Loan — Borrower Rights, Repayment Plans & Disclosures

Repayment plans

Standard Repayment: fixed payments over up to 10 years; least total interest. Graduated: payments start lower and increase every two years. Extended: fixed or graduated payments over up to 25 years for borrowers with sufficient balances. Parent PLUS borrowers may use income-contingent repayment only after consolidating into a Direct Consolidation Loan.

Deferment and forbearance

Under certain conditions you may temporarily postpone or reduce payments. Interest continues to accrue on PLUS loans and, if unpaid, may be capitalized (added to principal), increasing what you owe.

Interest capitalization

Capitalization adds unpaid accrued interest to principal; future interest is charged on the larger balance. Paying interest as it accrues minimizes cost.

Public Service Loan Forgiveness

Parent PLUS loans qualify for PSLF only after consolidation and repayment under a qualifying plan while the parent works full time for a qualifying public-service employer.

Prepayment

No penalty applies for prepaying any amount. Extra amounts may be directed entirely to principal by notifying the servicer.

Total and permanent disability / death discharge

Federal loans may be discharged on the borrower's total and permanent disability. A parent PLUS loan is discharged if the borrowing parent or the student dies, upon acceptable documentation.

Default and credit reporting

A loan may default after 270 days of nonpayment, with serious consequences including acceleration, collection costs, and credit damage. Account status is reported to national consumer reporting agencies. Rehabilitation or consolidation can resolve a default.

Tax information

Interest is reported on Form 1098-E. Deductibility is determined on your return subject to the modified-AGI phase-out and the rules in Pub. 970. A parent PLUS loan can be a qualified student loan if taken solely to pay a dependent's qualified education expenses. This statement is not tax advice.

Deferment types

You may postpone payments through in-school, unemployment, economic-hardship, or military-service deferment if you qualify. For PLUS loans, interest accruing during deferment is the borrower's responsibility and may be capitalized if unpaid.

Forbearance types

General (discretionary) forbearance may be granted for financial difficulty or illness; mandatory forbearance must be granted in certain circumstances such as a medical residency or when payments equal or exceed 20% of gross income. Interest continues to accrue during forbearance.

Closed school, false certification, and disability

You may be eligible for discharge if your school closed, your eligibility was falsely certified, or you become totally and permanently disabled, subject to documentation and program rules.

Getting out of default

A defaulted loan may be resolved through rehabilitation (a series of agreed on-time payments), consolidation, or payment in full. Rehabilitation may remove the default notation from your credit history; consolidation does not.

Ombudsman

If you cannot resolve a dispute with your servicer, the Federal Student Aid Ombudsman Group is a resource of last resort. Make a good-faith effort to resolve the matter with the servicer first.

Contact and error resolution

Call (888) 555-0125 or write to Cordillera Federal Loan Servicing, P.O. Box 9100, Albuquerque, NM 87199. Written error disputes are acknowledged within 10 business days and answered within 30.

Glossary of Education & Loan Terms

Term	Definition
Qualified tuition & related expenses	Tuition and required fees for enrollment; the basis for Box 1 of Form 1098-T.
Scholarship/grant	Aid that need not be repaid; tax-free if used for tuition and required fees (Box 5).
American Opportunity Credit	An education credit (up to \$2,500) for the first four years of postsecondary education.
Lifetime Learning Credit	An education credit (up to \$2,000) for qualified tuition; not limited to four years.
Direct PLUS Loan	A federal loan to a parent of a dependent undergraduate (or to a graduate student).
Capitalization	Adding unpaid interest to principal; increases future interest charged.
Qualified student loan	A loan taken solely to pay qualified higher-education expenses; interest may be deductible.
Cost of attendance	The school's estimate of total education costs for budgeting and aid purposes.

Education Tax Benefits — Reference & Year-End Checklist

Reference: the federal education benefits and their key features. Eligibility and amounts are determined on the income-tax return; this is general information, not tax advice.

Benefit	Maximum	Key features
American Opportunity Credit	\$2,500 per student	First 4 years; 40% refundable; qualified tuition, fees, and course materials; MAGI phase-out applies.
Lifetime Learning Credit	\$2,000 per return	No year limit; qualified tuition and fees; nonrefundable; MAGI phase-out applies.
Student loan interest deduction	\$2,500	Above-the-line; qualified student loan interest (incl. parent PLUS); MAGI phase-out applies.
Tax-free scholarships/grants	—	Tax-free if used for tuition and required fees; reduce expenses available for a credit.

Year-end checklist for the education benefits

#	Item to gather
1	Form 1098-T (UNM) and the bursar account showing payments for qualified tuition and fees
2	Records of course materials purchased (for the American Opportunity Credit)
3	Scholarship and grant award letters (to determine tax-free amounts)
4	Form 1098-E for student loan interest paid (parent PLUS)
5	Proof the student was the borrower's dependent when the loan was taken (for the interest deduction)
6	Enrollment verification showing at least half-time status (for the American Opportunity Credit)

Important contacts & where to get help

Office / resource	Contact
UNM Bursar's Office	(505) 277-5363 • bursar.unm.edu • MSC11 6045, Albuquerque, NM 87131
UNM Financial Aid Office	(505) 277-8900 • financialaid.unm.edu
Loan servicer (Cordillera)	(888) 555-0125 • P.O. Box 9100, Albuquerque, NM 87199

Office / resource	Contact
Federal Student Aid	(800) 433-3243 • StudentAid.gov
FSA Ombudsman Group	(877) 557-2575 (disputes of last resort)
IRS education benefits	Pub. 970; Instructions for Form 8863; irs.gov
NM Lottery Scholarship	nmhed.state.nm.us (Higher Education Department)

End of education financing & tuition records, Tax Year 2025. Retain with your tax records. The education credit and student loan interest deduction are determined on the income-tax return; see Pub. 970 and the Instructions for Form 8863.